

POLICYREADY • COLORADO

How to Open a **Host Home Business** in Colorado

Step by Step

*From “where do I start?” to your first billing cycle —
whether you go through an agency, or build your own.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of Colorado.

Read this first

This is a plain-language roadmap built from Colorado's actual rules, agencies, and billing manuals. It is not legal, tax, or billing advice, and the details change — rates, fees, codes, and regulations update regularly, often every July 1. Before you act, confirm the current specifics with HCPF, CDPHE, your Case Management Agency, an attorney, an accountant, and an insurance broker. Every code and citation here is real and pulled from the state's own sources — but always check the current version before you rely on it.

What this guide covers

- Part 0 — The big picture: what a host home is, who the players are, and the two ways in.
- Part 1 — Path A: becoming a host home provider through an approved agency (the fastest way).
- Part 2 — Path B: building your own agency (a PASA) and billing Medicaid yourself.
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house actually needs (sprinklers, egress, the full checklist).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: the real codes, the real dollar rates, and your first billing cycle.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask.

PART 0

The Big Picture

Opening a host home in Colorado is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

What a host home actually is

A host home is a private home — your home — where an adult with an intellectual or developmental disability (IDD) lives with you and receives support. In Colorado's system this is a type of Individual Residential Services and Supports (IRSS). The person is on the Medicaid Developmental Disabilities (DD) waiver, you are the Host Home Provider (HHP), the home must be your primary residence, and you can serve no more than three waiver participants in one home.

The players — learn these names, you'll deal with all of them

- HCPF (Health Care Policy & Financing) — Colorado's Medicaid agency. Controls the money, the rules, and the billing system (interChange, run by its fiscal agent Gainwell).
- CDPHE (Public Health & Environment) — recommends certification and surveys agencies before approval.
- Case Management Agency (CMA) — your local “front door.” They enroll the members, write each person's plan, and file the prior authorization that lets you get paid. (This is the role the old Community Centered Boards / CCBs used to fill.)
- PASA (Program Approved Service Agency) — the agency approved to deliver waiver services. This is the license the business holds.
- Host Home Provider (you, on Path A) — usually a 1099 contractor of a PASA, not an employee.

The fork in the road — there are two ways in

This decides everything, so understand it before you spend a dollar.

- Path A — Become a Host Home Provider under an existing PASA. You partner with an agency that's already approved. They recruit and place the people you'll serve, they handle Medicaid billing, and they oversee you. You provide the home and the care. Fastest, cheapest, lowest-risk — this is how almost everyone should start.
- Path B — Become your own PASA (your own agency). You build the company, enroll with Medicaid, get CDPHE-approved, take referrals from CMAs, contract your own host home providers, and bill Medicaid yourself. A much bigger lift — but it's the real business, with the real money and control.

The waivers that fund this: the HCBS-DD waiver funds residential/IRSS (host homes). There's also SLS (Supported Living Services) and CES (Children's Extensive Support), but residential habilitation in a host home is a DD-waiver benefit.

PART 1 • PATH A

Become a Host Home Provider

Start here. You can always grow into your own agency later.

Step 1 — Make sure it fits your life

So the first thing to do isn't paperwork — it's a gut-check. A host home means an adult with a developmental disability lives in your home, with you, and you support them through everyday life — meals, routines, appointments, the good days and the hard days. Your home has to be your primary residence. You can serve up to three people, though many providers start with one. And everyone in your household who's 18 or older will be part of the background check, so this is a family decision.

Step 2 — Find your agency (the PASA)

On this path you don't apply to the state yourself — you partner with an agency that's already approved. Think of the PASA as your teammate: they find the person you'll support, handle the Medicaid billing, train and monitor you, and pay you. You work with them as a contractor, not an employee. To find one, call your local Case Management Agency and ask which PASAs place people in host homes near you. Talk to more than one; ask how they support providers, how often they place people, and how and when they pay.

Step 3 — Pass the background checks

Before anyone can move in, you and your household get screened — non-negotiable, because everything here comes back to protecting a vulnerable person. First, a criminal background check on everyone in the home who's 18 or older. Second, a CAPS check — Colorado Adult Protective Services — on you, the provider (10 CCR 2505-10 § 8.600.4). Your PASA runs these. If you're worried about something in your past, ask your PASA early, before you get your heart set on a placement.

Step 4 — Get your home ready and inspected

Your home must pass the IRSS inspection before a member moves in (and within 90 days of becoming an approved setting). See Part 4 for the full checklist. Homes are re-inspected every two years.

Step 5 — Complete your training

CPR and first aid; abuse/neglect prevention; and person-centered support (the person's choices come first). If you'll administer medications, you'll get certified as a QMAP — a Qualified Medication Administration Person (6 CCR 1011-1 Chapter 24). Your agency points you to the classes.

Step 6 — Get matched and welcome your resident

The PASA and CMA coordinate the match. The PASA does an on-site visit before anyone moves in. Then you sign your agreements — your contract with the PASA, and the resident's residency and service agreements. Take the match seriously; a good fit is what makes this sustainable.

Step 7 — Put your policies in writing

Your policies and procedures — medications, emergencies, confidentiality, incident reporting, and the rights of the person you serve — must be documented. This is exactly what PolicyReady's Colorado host home manual is built for: ready to customize, just add your details.

Step 8 — Live it, document it, get paid

Follow the person's support plan and keep simple records (medications given, incidents, daily notes). Your PASA checks in quarterly, with at least one unannounced visit. On this path, the PASA bills Medicaid and pays you on the schedule in your contract — and that first payment is the moment it all clicks.

PART 2 • PATH B

Build Your Own Agency (a PASA)

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business

- Form your entity (usually an LLC) with the Colorado Secretary of State.
- Get your EIN/FEIN from the IRS (free, ~15 minutes online).
- Get a Type 2 (organizational) NPI through NPPES (free) — required, one per location (10 CCR 2505-10 § 8.126).
- Open a business bank account and set up basic bookkeeping.

Step 2 — Get your insurance in place

A PASA must carry comprehensive general liability, a fidelity bond (covering officers/agents), automobile insurance, and a surety bond or irrevocable letter of credit. Use a broker who knows human-services agencies.

Step 3 — Do the required state training

HCBS providers must complete the CO Train courses (HCBS Settings Final Rule + Person-Centered Thinking) and pass the quiz at 80% or higher — you attach that certificate to your Medicaid application, or it gets returned.

Step 4 — The dual application (the core)

Colorado runs two applications in parallel:

1. CDPHE PASA application — choose your waivers (DD/SLS/CES) and services (e.g., IRSS/residential habilitation), and the areas you'll serve. CDPHE conducts a survey before your initial approval.
2. HCPF Medicaid enrollment — enroll through the Colorado interChange Provider Web Portal (Gainwell). Pick your provider specialty (for host homes, Specialty 674 — Residential Habilitation IRSS/Host Home), and you'll be assigned a screening risk level: limited, moderate (adds a site visit), or high (adds fingerprint checks). The 2026 institutional application fee is \$750 per location, unless a same-year Medicare/Medicaid payment exempts you. (42 CFR Part 455; 10 CCR 2505-10 § 8.100.)

Step 5 — Get approved

Pass the CDPHE survey, receive your PASA approval, and the State notifies the CMAs you'll work with.

Step 6 — Set up inspections & reporting

Email irss.residential.inspections@state.co.us to set up your IRSS Inspections account, and begin the quarterly status updates (submitted between the 1st and 15th of January, April, July, and October).

Step 7 — Build your operation

Get your policies and procedures in place (PolicyReady manuals), line up QMAP capability, and recruit, screen, and contract your host home providers — background checks on everyone 18+ in each home, CAPS checks on each provider, and an inspection of each home before placement. (See Part 3 for who to hire.)

Step 8 — Take members, deliver services, and bill

Accept referrals from CMAs (the person must be DD-waiver enrolled), place them, bill Medicaid through interChange, monitor each home quarterly, route abuse/neglect matters through the Human Rights

Committee, file incident reports, and revalidate your enrollment every five years. This is the finish line — covered in Parts 5 and 6.

PART 3

Who You Actually Need (Staffing)

On Path A (you're the host home provider): you don't build a staff. At most you line up screened, trained relief/substitute caregivers so the person is never left without support when you're sick or away. The PASA provides the oversight, nursing, and billing.

On Path B (you're the PASA), plan for these roles — one person can wear several hats at the start:

- Administrator / Program Director — runs the agency, owns compliance, signs off on policies.
- Developmental Disabilities Professional (DDP) — oversees service quality and planning. Colorado defines a DDP as someone with at least a bachelor's degree and 2+ years of experience in the DD field (10 CCR 2505-10 § 8.600).
- Registered Nurse (RN) — for health oversight, medication delegation, and QMAP training/monitoring. Often part-time or contracted at the start.
- Billing / administrative support — submits claims in interChange and tracks authorizations and payments. Many small agencies outsource this to a Medicaid billing service at first.
- Host Home Providers — your 1099 contractors, each screened, trained (QMAP as needed), and in an inspected home.

Staffing requirements vary with the services you're approved for — confirm your specific requirements with CDPHE/HCPF.

PART 4

The Home: What Your House Actually Needs

The one thing to understand first

A host home is inspected as a private residence, not as a medical facility. It's your one- or two-family home with up to three people living in it, so it's inspected under the Division of Housing's IRSS residential inspection — not the heavy institutional "Life Safety Code" that assisted living facilities and group homes must meet. That single distinction is why you can open a host home in an ordinary house, and why you generally do not need commercial fire suppression, fire-rated construction, or a facility license.

"Do I need fire sprinklers?" — the question everyone asks

Usually no. Colorado's residential code only requires automatic sprinklers in one- and two-family homes "as required by the local jurisdiction" — which in practice means most existing homes don't need them. Sprinklers mainly come up for brand-new construction in the specific cities or counties that require them. So an existing single-family home used as a host home almost never has to be retrofitted with sprinklers — but call your local building/fire department to confirm, because it's a local decision. (A larger group home is the opposite — it usually does trigger sprinklers and institutional fire code.)

FIRE & LIFE SAFETY

- Smoke alarms — in every bedroom, outside each sleeping area (within 15 ft of the bedrooms), and on every story including the basement; hardwired with battery backup or 10-year sealed batteries; not within 3 ft of a bathroom door.
- Carbon-monoxide alarms — outside each separate sleeping area, within 15 ft of bedroom entrances, wherever there's a fuel-burning appliance or an attached garage (required by Colorado law since 2009).
- An operational fire extinguisher in the home.
- Two means of exit from any floor with sleeping rooms; all exits clear and unobstructed; egress doors open without keys or special knowledge.
- An emergency-escape (egress) window or door in every bedroom — a big one for basement bedrooms, which need a proper egress window well to count as a legal bedroom.
- A written evacuation plan that accounts for each person's ability to evacuate (critical if someone uses a wheelchair or can't self-evacuate).

HEALTH & HABITABILITY

- Working utilities — safe heat, water, and electrical (no exposed wiring or overloaded circuits).
- Water heater with a temperature & pressure-relief valve, hot water set to prevent scalding.
- Bathroom access — every bedroom reaches a toilet and sink without passing through another bedroom, on the same or an adjacent floor.
- Ventilation & light — at least one operable window per habitable room; bathrooms need an openable window or exhaust fan.
- No sleeping in non-bedrooms — kitchens and unfinished/non-habitable spaces can't be bedrooms.
- A safe, sanitary kitchen for storing and preparing meals; nutritionally balanced meals available.
- Clean and safe — free of offensive odors, dirt, rubbish, and dust; first-aid supplies on hand.
- Lead-based-paint disclosure if the home was built before 1978.
- Safe, secured storage of medications, chemicals, and any firearms.

THE PERSON'S RIGHTS IN THE HOME (HCBS SETTINGS RULE, 42 CFR § 441.301)

Privacy — including a lockable bedroom door where appropriate — a lease-like residency agreement, control over their own schedule and visitors, and access to the community. Most people have their own bedroom; sharing only by genuine choice.

THE INSPECTION ITSELF

Must pass before a member moves in, and within 90 days of becoming an approved setting, then re-inspected every two years by the Division of Housing. The PASA also does its own on-site check before move-in and quarterly after.

Two more housing things that trip people up

- Zoning — “can I even do this in my neighborhood?” Colorado law treats homes for people with disabilities as a residential use of property, so a host home is generally allowed in residential zones just like any family home (state law protects group homes for up to 8 people with disabilities, and the federal Fair Housing Act backs it up). Still, call your local planning/zoning office to confirm.
- Rent vs. the Medicaid payment. The daily rate you bill Medicaid pays for the service (support and habilitation), not the person's rent and food. The member typically pays room and board out of their own income (usually SSI), separate from what you bill.

PART 5

Getting Your First Person Placed

You can't bill until someone is living with you. Here's how that happens.

3. The member qualifies. To receive IRSS, the person must be enrolled in the HCBS-DD waiver — they meet financial and program criteria and an ICF/IID level of care as determined by the functional-needs assessment. The CMA handles their eligibility and enrollment.
4. The CMA builds the plan. The Case Manager develops the person's Person-Centered Support Plan (PCSP) and determines their support level (1–7) — this level drives your payment rate.
5. The match. The CMA and your agency (or the PASA, on Path A) match the person to your home. The PASA does the pre-move-in on-site visit.
6. The prior authorization (PAR). This unlocks payment: the Case Manager enters the PAR for IRSS/host home into the interChange “Bridge” — the procedure code, the level, and the number of units (days) approved. No PAR, no payment. You confirm the PAR details through the Provider Web Portal or by asking the Case Manager (providers can't access the Bridge directly).
7. Move-in and sign. Residency agreement, service agreement, and your intake are completed. Now you're delivering a billable service.

PART 6

How You Get Paid: Codes, Rates & Your First Billing Cycle

The actual billing code for a host home

Residential habilitation in a host home is billed under Specialty 674 — Residential Habilitation IRSS/Host Home:

- Procedure code: T2016
- Base modifier: U3 (the “outside Denver” DD-waiver indicator), plus the member's support-level modifier.
- The unit is a DAY — billed per diem (one unit per day the person lives with you and receives services).

The actual dollar rates (Host Home, effective January 1, 2026)

These are the current per-diem rates. Most providers bill the outside-Denver column; Denver County pays a little more.

Support Level	Code + modifiers	Rate/day (outside Denver)	Rate/day (Denver County)
Level 1	T2016 U3 TT	\$83.57	\$89.96
Level 2	T2016 U3 22 TT	\$136.26	\$147.15
Level 3	T2016 U3 TF TT	\$168.17	\$182.27
Level 4	T2016 U3 TF TU	\$207.12	\$225.43
Level 5	T2016 U3 TG TT	\$241.12	\$263.56
Level 6	T2016 U3 TG TU	\$307.64	\$337.99
Level 7	T2016 U3 SC TT	individually approved	individually approved

Make it real: a host home serving a Level 3 person outside Denver bills \$168.17/day — about \$5,045 in a 30-day month. A Level 5 is \$241.12/day — roughly \$7,233/month. Higher support need = higher daily rate.

Why the rate changes — and why you must check today's number

- Who controls it: HCPF publishes the fee schedule, but the money is decided by the Colorado General Assembly and its Joint Budget Committee in the annual state budget.
- Why it goes up: to keep pace with the cost of care and to fund the direct-care-worker base wage — Colorado requires HCBS workers be paid at least \$17.00/hour in 2026 (higher in Denver and Edgewater) — and because a review committee (MPRRAC) benchmarks these rates against Medicare.
- Why it goes down: when the state faces a budget shortfall, rates get cut — as with a 1.6% cut on October 1, 2025 and another 2.0% cut on July 1, 2026.
- How often: at least every July 1 (new fiscal year) and January 1 (code updates), sometimes mid-year. Always pull the current number from HCPF's fee schedule before you budget.

Your first billing cycle, step by step

8. Confirm the PAR — code T2016, the right level modifiers, and the approved units/dates. Make sure it matches what you're actually providing.
9. Deliver and document daily — service logs, medication administration records, and any incident reports. Your documentation is what protects the claim in an audit.

10. At month's end, build the claim on the CMS 1500 form (submitted electronically as an 837P through the interChange Provider Web Portal, or on paper). Key fields for a host home: the member's 7-digit Health First Colorado ID; procedure code T2016 + U3 + level (+ TT/TU); place of service 12 (Home); dates of service combined on one line (e.g., From 01/01 To 01/31, Units = 31); diagnosis R69 (allowed for HCBS); and your NPI.

11. Submit through interChange and wait for adjudication.

12. Get your Remittance Advice (RA) and payment. The RA tells you what paid, what didn't, and why. Colorado Medicaid generally pays on a regular (often weekly) cycle. Watch your timely-filing window — generally within 365 days of the date of service; confirm the current rule.

Two truths that save new providers: (1) Prior authorization is not payment — an approved PAR still has to be backed by a clean, timely claim. (2) Never balance-bill the member — Medicaid is payment in full; the member owes \$0.

PART 7

What It Costs & How Long It Takes

Startup line items (Path B)

LLC filing; EIN and NPI (free); the \$750 2026 Medicaid application fee (per location); insurance (liability, fidelity bond, auto, surety bond); getting a home inspection-ready; training (QMAP, CPR/First Aid); and your policies & procedures. (Path A is far cheaper — mostly training, screening, and getting your home ready.)

Timeline

The dual CDPHE + HCPF application, the CDPHE survey, and Medicaid enrollment typically take several months end-to-end, depending on how complete your application is and how quickly the survey is scheduled. Build in time; don't count on income until you're approved, have a member placed, and have a PAR in hand. Confirm current processing times with CDPHE/HCPF.

PART 8

When They Say “Check Locally”: Who to Call & What to Ask

Some things are decided by your region (your Case Management Agency) or your local government (zoning, building, fire). We can't answer those for you — but here's the phone script so you get a straight answer instead of getting bounced around.

The statewide offices (same for everyone)

For...	Contact
PASA approval & certification	CDPHE — cdphe.colorado.gov/program-approved-service-agency-pasa
Medicaid enrollment (interChange)	HCPF Provider Services — hcpf.colorado.gov/provider-enrollment
HCBS provider questions	HCPF_HCBS_Questions@state.co.us
IRSS home inspections	irss.residential.inspections@state.co.us
Billing codes & rates	hcpf.colorado.gov/hcbs-idd-manual · hcpf.colorado.gov/provider-rates-fee-schedule
Find your Case Management Agency	hcpf.colorado.gov/case-management-agency-directory

The local calls — and what to ask on each one

① YOUR CASE MANAGEMENT AGENCY (CMA) — YOUR MOST IMPORTANT LOCAL CALL

- “I want to become a host home provider. Which PASAs in this area place people in host homes, and can you connect me with them?”
- “Is there currently a waitlist for the DD waiver here, and about how long?” (Only the DD waiver has a waitlist — this sets your timeline.)
- “How does a person get matched to a host home in this region, and what do you look for in a host home?”

② COUNTY OR CITY PLANNING / ZONING — “CAN I LEGALLY RUN A HOST HOME HERE?”

- “I want to open a host home — a residence where up to three adults with developmental disabilities live with me and receive support. Is that an allowed residential use at [address], or do I need a special/conditional use permit?”
- “Any occupancy limits or spacing rules for group/host homes? Can you confirm that in writing (a zoning verification letter)?”
- If they hesitate: homes for people with disabilities are protected as a residential use under Colorado law and the federal Fair Housing Act — ask them to cite the specific code section.

③ BUILDING DEPARTMENT — “DOES MY HOUSE MEET CODE, AND DO I NEED SPRINKLERS?”

- “I have an existing single-family home I want to use as a host home for up to three people. Do I need any permits, and does the home have to meet anything beyond standard residential code?”
- “Do I need to install fire sprinklers?”
- “What are your rules for smoke alarms, carbon-monoxide alarms, and bedroom egress windows — especially a basement bedroom?”
- “Is the state's Division of Housing doing the IRSS inspection, or do you inspect too?”

④ LOCAL FIRE DISTRICT / DEPARTMENT — “ANY FIRE REQUIREMENTS FOR MY HOME?”

- “I'm opening a host home — a private residence for up to three adults with disabilities. Are there any fire-code requirements beyond standard residential (alarms, extinguisher, exits)?”

- “Do you require an inspection or sign-off? Any special requirement if a resident can't self-evacuate?”

Case Management Agency quick reference

Confirm the current number in the official directory (assigned by the county you live in).

Case Management Agency	Serves (examples)	Phone
The Resource Exchange (TRE)	El Paso, Park, Pueblo, Teller	see directory
Rocky Mountain Human Services	Denver, Adams	303-636-5600
Developmental Pathways	Arapahoe, Douglas, Elbert	303-360-6600
Rocky Mountain Health Plans (RMHP)	19 western/mountain counties	970-243-7050 · 800-346-4643
Developmental Disabilities Resource Center	Clear Creek, Gilpin, Jefferson, Summit	see directory
Foothills Gateway	Larimer	see directory
Weld County CMA	Weld	970-400-6950
NECALG	NE Colorado (Morgan, Logan, etc.)	970-867-9409 · 888-696-7212
Community Options	Montrose, Ouray, San Miguel, Delta, Gunnison	970-252-7076

Fully worked examples — Colorado's two biggest metros

Most people live in or near one of these two, so each one's real call list is done for you below. If you're somewhere else, use these as a template for building your own.

COLORADO SPRINGS / EL PASO COUNTY

- CMA: The Resource Exchange (TRE) — serves El Paso, Park, Pueblo, and Teller (number in the CMA directory).
- Zoning (unincorporated county): El Paso County Planning & Community Development — (719) 520-6300 (they have a “Group Homes” info page); property-specific zoning: Planner of the Day, dsd-pod@elpasoco.com.
- Zoning (inside Colorado Springs): Colorado Springs Planning — (719) 385-5905.
- Building permits & inspections: Pikes Peak Regional Building Department (PPRBD) — (719) 327-2880 — one regional office covering Colorado Springs, Fountain, Manitou Springs, Monument, Palmer Lake, Woodland Park, and unincorporated El Paso County.
- Fire: your local fire district — it depends on your exact address; ask the building department which district you're in.
- The local quirk here: building runs through a regional department (PPRBD), not your individual city or county.

DENVER

- CMA: Rocky Mountain Human Services (RMHS) — serves Denver and Adams counties — (303) 636-5600 (9900 E. Iliff Ave, Denver).
- Zoning / land use: Denver Community Planning & Development (CPD) — zoning questions (720) 865-2974; main line (720) 865-2700.
- Building permits & inspections: Denver Development Services (CPD) — (720) 865-2705; residential permits (720) 865-2710, ResidentialPermits@denvergov.org.
- Fire: folded into the combined Denver Building and Fire Code and handled through CPD; for fire-specific questions, reach the Denver Fire Department Fire Prevention Division (call Denver 311 to be routed).

- The local quirk here: because Denver is a consolidated city-and-county, one office (Community Planning & Development) handles both zoning and building — the opposite of Colorado Springs. Always confirm your address's specifics.

How to find your own county's numbers

13. Start with the CMA directory — it's assigned by where you live.
14. For zoning and building, search “[your county] Colorado planning department” and “[your county] building department,” or call your county's main line and ask for Planning/Zoning and Building.
15. Not sure who covers you? Call 2-1-1 (Colorado's health-and-human-services help line) and ask.

You can do this.

Opening a host home is real work — but it's a real, walkable path, and people across Colorado do it every day. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start the fast way through an agency or build your own, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the state as you go, and lean on your Case Management Agency and your PASA — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Colorado HCPF/CDPHE rules, the HCBS-IDD billing manual, and the Code of Colorado Regulations as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, fees, and codes change — always verify current details with the State of Colorado before you act.